

BOARD MEETING OF THE CBA

MINUTES

(29.01.2019)

On the Refinancing Rate

The CBA Board Meeting of January 29, 2019 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of January 29, 2019. It addressed the developments on the inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 1.5% inflation rate in December of 2018, which was totally due to a change in seasonal prices. In particular, in groups such as “Fruit” and “Vegetable” the prices have increased by 12.5% and 25.2% respectively, with a combined contribution of about 1.8 pp to the inflation. Nevertheless, as compared to the same period of the previous year, prices of agricultural products remain at a low level as a result of which the 12-month inflation rate in yearend was 1.8%, approximately 1.0 pp below the predicted value. Meantime, driven by an estimated weak domestic demand, core inflation continues reducing; it amounted to 2.6% in late December.

Addressing the current economic environment, the Board stated that, according to the fourth quarter 2018 actual results, the economic activity kept on slowing down primarily due to reduced output in agriculture sector and mining subindustry. In this case, annual economic growth is estimated to be around 5.0%, with industry and services posting most contributions to the growth. The fourth quarter’s domestic demand remains weak as well because of the influence of contractionary fiscal policy (the fiscal impulse for the fourth quarter is an estimated 3.6 pp contractionary) and a slowing in private spending.

The Board addressed the external sector developments: in the fourth quarter the world economic growth rates were somewhat sluggish in both developing and developed countries as a low inflationary environment was further observable in international commodity and food product markets. In the meantime, the central banks of leading economies continue tightening their monetary conditions.

Referring to the developments in the domestic financial market, the Board admitted that mostly stable patterns were observable in various segments of the market at the end of 2018 and the start of this year and that interest rates persisted around the policy rate.

Following the discussion of the Situation Report and of the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making a decision on the interest rate. **The options whether the refinancing rate is to be left unchanged or lowered were considered.** Taking into account the lower-than-expected inflation environment and that it is anticipated to remain so in the upcoming months due to emerging of certain deflationary risks and non-inflationary effects expected from external and domestic economies, the **Board decided on increasing the amount of monetary stimulus while reducing the refinancing rate.** At the same time, in view of predictable macroeconomic developments, monetary conditions would need to be kept expansionary for a longer-term perspective for price stability in the medium run. **As a result, the expectation is that the inflation will still run below the target, stabilizing around the 4% value at the end of the forecast horizon.**

The Board also referred to existing inflationary risks. Mostly on a downside path, the risks are conditioned by both external and domestic factors. In the event these risks materialize, the Central Bank will adjust the monetary policy direction accordingly, while ensuring the price stability.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

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January 29, 2019

No. 10 A

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. To reduce the refinancing rate of the Central Bank of the Republic of Armenia by 0.25 pp to 5.75%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.25%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.25%.
3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the Central Bank

January 29, 2019

c. Yerevan

PRESS RELEASE
29.01.2019

In the January 29, 2019 meeting, the Board of the Central Bank of Armenia (CBA) decided to cut the refinancing rate by 0.25 pp to 5.75%.

There was 1.5% inflation in December of 2018, in which case the 12-month inflation rate amounted to 1.8%. Prices of seasonal products have shaped at a relatively low level, with some decline in core inflation. As a result, a low inflationary environment will persist over the upcoming months while the 12-month inflation will run below the lower part of the confidence band.

Global economic growth rates are signaling some weakening in both leading and developing countries, and the central banks of leading countries continue to tighten their monetary policy conditions. Accordingly, softening inflationary environment is further observable in the international markets of basic commodities, so the Board of the CBA considers that no inflationary pressures from the external sector are likely in the coming months.

The Board admits that the economic activity in late 2018 was still sluggish, while the year's economic growth is expected around 5.0%. The weakening of aggregate demand is largely due to a contractionary stance of the fiscal policy and slowing growth in private spending. The Board reckons that the low inflation is partly of a structural nature, driven by long-term economic and public policy changes, which also contributes to maintaining the purchasing power and anchoring the inflationary expectations.

In consideration of the situation mentioned above, the Board finds it reasonable to increase the extent of expansionary monetary conditions by reducing the refinancing rate by 0.25 pp and using the long-term liquidity injection toolkit. At the same time, in view of the anticipated macroeconomic developments, to leave monetary conditions expansionary for a longer period of time will be needed for maintaining price stability in the medium run. As a result, the expectation is that inflation will still be running below the lower part of the confidence band and stabilizing around the 4% value at the end of forecast horizon.

Risks to fulfillment of the inflation target in forecast horizon are assessed still downside, due to both external and internal factors. The CBA keeps a watchful eye on macroeconomic developments, if risks emerge, it will adjust the monetary policy directions accordingly, while ensuring the price stability.

Detailed information that underlies the decision on setting of the interest rate will be available in Press Release (Minutes on Interest Rate) to be published by February 12, 2019.

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Press Service of the Central Bank of Armenia